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EFFICIENCY OF INDIAN STOCK MARKET: AN EMPIRICAL STUDY

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ABSTRACT:

The level of efficiency in the stock market determines the extent of the reflection of information into the worth of stocks. This paper tries to evaluate the efficiency of Indian stock market through empirical research using primary data. Market efficiency means the stock price incorporates all available market information. Thus, it is challenging for traders to make abnormal gains. The research is conducted through a well-structured survey sent to the sample population using Google Forms. 102 responses are gathered as a result of the research. The research methodology used in this study was descriptive research with the Likert scale (1-5) used to get an understanding of various aspects of market efficiency such as price behaviour, information availability, market transparency along with the role of insider information.

The study also takes into account demographic and investing traits of the interviewees, such as age, occupation, and investing background. This will help establish any connections between the investors' behaviour and the perception of the efficiency of the market. This will make sure that all the findings come from a diverse set of people who have different backgrounds with regard to the stock market. The results obtained show that the most of the respondents think that stock prices depend on publicly available information. Moreover, respondents think that the market reacts to economic and political information promptly. Yet, there are a lot of people who consider that it is possible to achieve higher return on investments through technical and fundamental analysis. In conclusion, it is evident that the stock market in India is an example of semi-strong efficiency, but not strong efficiency. This study offers valuable information to investors and policymakers on the stock market efficiency. Future studies can be conducted using a bigger sample size and statistical techniques for more accurate findings.

Keywords: Stock Market Efficiency, Indian Stock Market, Empirical Study, Investor Behaviour, Market Transparency

Introduction

The stock market is important for the development process of a country. It helps in making capital formation. It also helps in an efficient deployment of funds. Stock exchanges like National Stock Exchange of India and Bombay Stock Exchange provide a marketplace for buying and selling of securities. Indian stock market has experienced a rapid growth during the last few decades because of advances in technology and participation of both individual and the institutional investors (Hiremath, 2014; Mishra & Gupta, 2022).

For the stock market to operate efficiently, security prices must swiftly and justly reflect all available information, which is an efficient market definition. Market efficiency is often considered an important benchmark of the development level and transparency of financial markets (Pandey, 2003; Mahendru, 2009). Given the ever-increasing connectivity of markets and the trading taking place through the electronic platform the need to assess market efficiency in India has arisen.

Stock prices adjust and reflect the market information is referred as the market efficiency (Majumder, 2013). As per efficient market hypothesis (EMH), it is difficult to earn abnormal profits without taking extra risk.

There are three types of the market efficiency. The market efficiency's weak form indicates it is impossible to forecast the future based on previous pricing enabling that technical analysis is ineffective (Gupta & Basu, 2007; Mehla, 2012; Arora, 2013). In semi-strong market efficiency, stock prices adjust quickly to information in financial statements and news releases (Chavannavar & Patel, 2016; Mallikarjunappa, 2013). In contrast, strong market efficiency assumes that even insider information is taken care of (Ahmad al., 2006).

Understanding the different forms of market efficiency helps in assessing whether the Indian stock market allows consistent gains (Thomas, 2009).

Though there have been tremendous changes and improvements in the Indian stock market with respect to technology and regulations, yet the question about the degree of efficiency of the Indian stock market still remains controversial (Joshi, 2012). The main issue here lies in the role that information asymmetries, behavioural biases, and other issues play in affecting the price of shares (Ashraf, 2019; Jethwani, 2013).

The major problem this research attempts to solve is determining the efficiency of the Indian stock market in terms of information and whether the investors are able to obtain abnormal gains (Mishra al., 2009; Elangovan al., 2022). This study aims at examining investors' attitudes towards market efficiency and finding the levels of different kinds of efficiency.

Literature Review

Stock market efficiency is one of the areas which has been researched extensively especially by researchers in developing countries such as India, in which case the dynamics in the markets keeps changing. There have been many empirical studies testing the validity of EMH hypothesis using various methods (Sharma & Mahendru, 2009).

An empirical study by Pandey (2003) was done on testing the efficiency level of Indian stock market using the three main stock index over the period from January 1996 to June 2002. It utilized statistical methods such as run test and autocorrelation function (ACF) in the examination of random behaviour of the stock prices. According to the study, there is no perfect random walk of stock prices as an autocorrelation is present, which implies market inefficiency.

Joshi (2012) examined the efficiency level of Indian stock market using random walk theory by using run test analysis on six major indices. These indices include BSE 30, BSE 100, BSE 200, BSE 500, BSE Small Cap, and BSE Midcap from the years 2001 to 2010. This study mainly aimed at testing random walk hypothesis along with the testing possibility of using previous data in predicting future price movement. The study findings revealed that inefficiency of markets provides the possibility for earning abnormal returns through prediction of trend in future (Joshi, 2012).

Gupta and Basu (2007) examined the weak efficiency of the Indian stock market based on a random walk hypothesis from 1991 to 2006. The study recorded evidence of significant autocorrelation, indicating the prices did not purely follow a random walk. Investors can capitalize on price data to earn more as weak form efficient market will not have this scope (Gupta & Basu, 2007).

According to Hiremath (2014), the Indian stock market is informationally efficient when seen from an EMH viewpoint. The research utilized the implementation of various sophisticated methods of econometrics (like time series models) to gauge the behaviour of returns on stock due to structural break, nonlinearity, long memory effect, and other parameters. To sum it up, the analysis revealed that despite the tremendous growth and the development of the Indian stock market, it is still inefficient due to microstructure problems and information asymmetry (Hiremath, 2014; Ashraf & Baig, 2019).

In contrast, Chavannavar and Patel (2016) studied the efficiency of National Stock Exchange of India based on Nifty and NSE 50. This study was performed for three consecutive years and emphasized the weak form and semi-strong forms of efficiency with respect to the influence of historical and public information

influencing stock prices. It can be inferred that the Indian stock market possesses features of both weak form and semi-strong forms of efficiency (Chavannavar, 2016; Mallikarjunappa, 2013).

Generally, from the literature review, it appears that there is mixed evidence on the existence of efficiency within the Indian stock market. Evidence on both weak and semi-strong form efficiency exists, whereas evidence of inefficiency due to delayed adjustments, autocorrelation, and behavioural issues also persists (Mishra et al., 2009; Elangovan et al., 2022; Jethwani & Achuthan, 2013).

Research Gap

The review of existing literature on stock market efficiency clearly indicates that a significant number of studies have focused on analysing the behaviour of stock prices using secondary data. Accordingly, these investigations make use of historical price series and employ run tests, autocorrelation and other sophisticated modelling tools aimed at assessing market efficiency (Fama, 1970; Pandey, 2003; Majumder, 2013). Although these methods are helpful in estimating price moves and return patterns, they are predominantly focused on numbers failing to capture the behavioural and perceptual aspect of investors. Previous Studies were highly reliant on secondary data which we observe as a major limitation now. Studies conducted on historical datasets fail to represent market conditions relevant to the present. As technology advances at a rapid pace, the development of online trading apps is changing the way an investor behaves or operates. For this reason, it may be that what happened in the past may not be relevant today (Hiremath 2014; Mishra 2022).

Another important gap that is observed in the previous study is the lack of emphasize of subjective perception by individual investors. It may also rely on how they interpret and act upon what they perceive to be valid information. However, existing studies tend to overlook investor sentiment, awareness, and behavioural biases, which play an important role in the decision-making. This creates a disconnect between theoretical models of efficiency and real-world investment practices (Ashraf, 2019).

In addition, most earlier studies only focus on the testing the validity of the Efficient Market Hypothesis (EMH) on its weak, semi-strong and strong form. Though studies in the emerging field of financial market PB have theoretical utility, they benefit from neglecting practical utility have not been shown as important information, technical and fundamental analysis, insider information, etc. Consequently, the actual use of these findings is very little, especially among retail investors (Joshi, 2012).

Moreover, past studies used to have complex statistical methods, which may not be easy to comprehend for a common investor. The utility of such research is essentially limited for a wider audience, especially the beginner stock market participants (Mehla, 2012). We need studies that are more simple and easy to understand and still maintaining academic seriousness.

Given the above-mentioned limitations, one can infer that there is a need for a study with primary data on investor perception. In an attempt to fill this gap, the present study will adopt an empirical approach by using a structured questionnaire. The study aims to collect responses from investors, students, and working people to obtain live views and experience on stock market efficiency (Thomas, 2009; Elangovan et al., 2022).

So, this study adds to the existing body of knowledge by bridging the gap between theoretical concepts and practical understanding. It provides a more comprehensive view of market efficiency by combining behavioural insights with empirical data, thereby offering valuable implications for both investors and policymakers (Achuthan, 2013; Mishra et al., 2009).

Research Design

The current research has opted for the use of both descriptive and empirical research designs in order to investigate the efficiency of Indian stock markets. Descriptive research is utilized to analyse and interpret the attitudes of respondents with regard to market performance, information flow, and transparency. The empirical nature of the research is demonstrated by collecting primary data through a structured questionnaire from respondents.

This research concentrates on determining the patterns among investors' attitudes towards interpreting the degree of market efficiency in India. Structuring the interview helps achieve consistency of responses and makes data processing more feasible.

Research Approach

As the research is depend on the use of numerical data acquired through surveys, it implies that the quantitative method will be employed in this research. Respondents' levels of agreement have been assessed by means of a Likert Scale of five grades (1-5).

Quantitative research approach allows translating qualitative responses into numeric form to further use the percent method of analysis.

Data Collection

The study was conducted using primary data obtained through a questionnaire administered via a Google Form. The questionnaire consisted of structured questions divided into different sections, including demographic details, investment behaviour and perceptions of market efficiency.

A total of 102 valid responses were collected for the study. The data provided insights into the perspectives of individuals with varying levels of experience and involvement in the stock market.

Sampling Design

The study applies a convenient sampling design to select the participants of the survey. The study population comprises students, salaried personnel, investors, and other individuals.

While this technique is easy and economical to conduct, it restricts the validity of the findings to some extent. However, it can still work for research and academic purposes.

Techniques/Methods of Analysis

The collected data has been analysed with percentage and Likert scale analysis.

Percentage analysis is done for demographic and behavioural data.

Likert scale analysis has been done for measuring levels of agreement about market efficiency.

Data Analysis

Demographic Profile Analysis

Gender:

Gender plays a important role in understanding the participation of individuals in stock market activities. It helps in analysing the breakdown of respondents based on male and female categories. Table 1 shows the breakdown of responses regarding gender.

Table 1: Gender

	Percentage	Responses
Male	68.6%	70
Female	31.4%	32
Total	100%	102

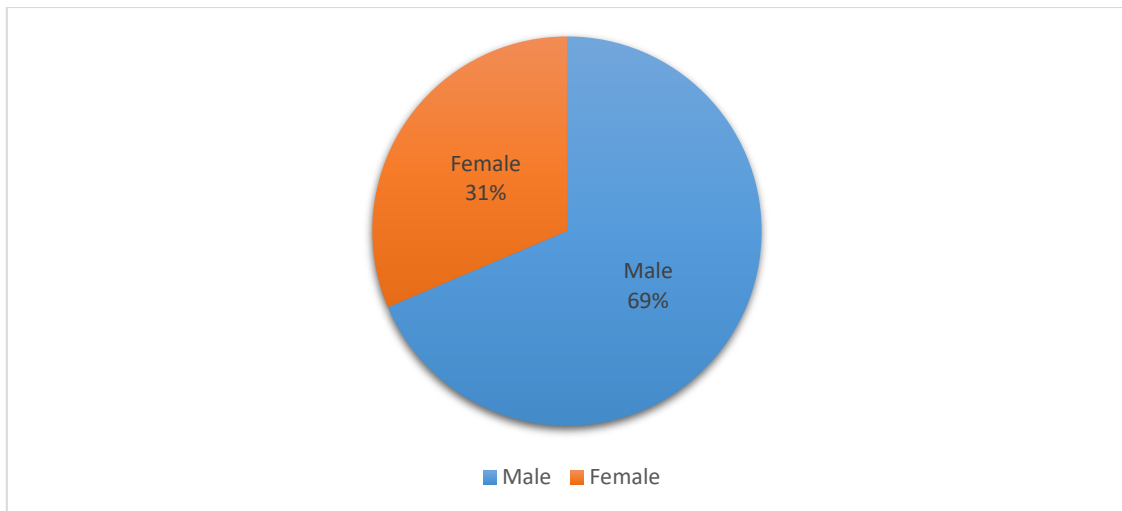


Fig. 1: Gender

Fig. 1 shows the majority of the participants are male, forming 68.6% of the entire sample size, whereas females form 31.4% of the same. This reflects the fact that males have a relatively higher engagement in the stock market transactions than females do in the research study.

Age Group:

Age plays a significant role in shaping investment behaviour and decision-making within the stock market. It helps in understanding the demographic distribution of respondents across different age groups. Table 2 shows the distribution of responses regarding age group.

Table 2: Age Group

	Percentage	Responses
Below 20	9.8%	10
20–30	81.4%	83
31–40	5.9%	6
Above 40	2.9%	3
Total	100%	102

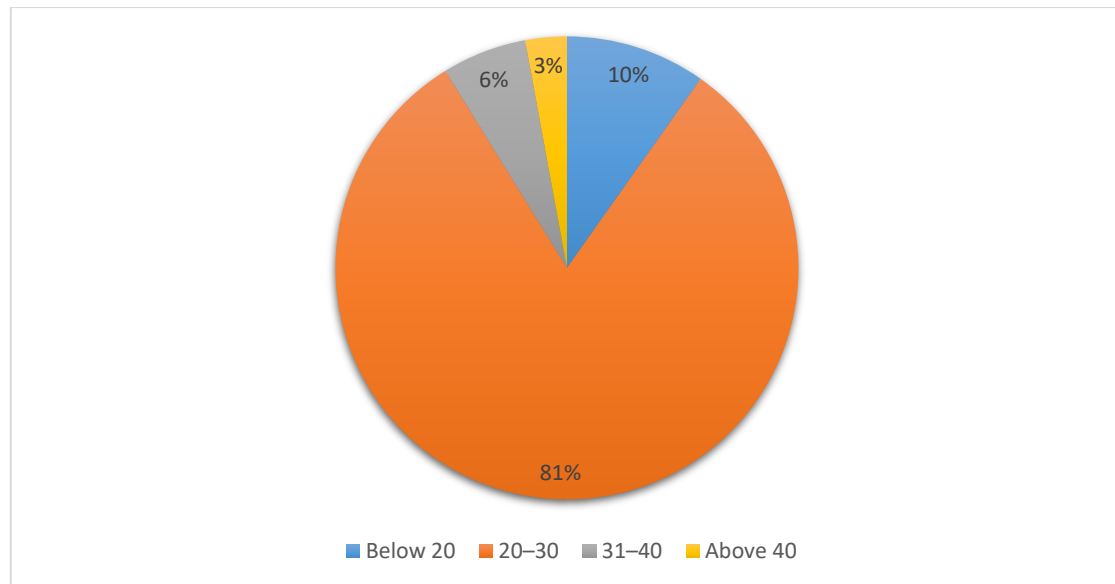


Fig. 2: Age Group

Fig. 2 show the dominant group among the respondents is between the ages of 20-30 years, forming 81.4 percent of the total number of participants in the study, while 9.8 percents of respondents are under the age of 20 years. Fewer numbers of respondents were found in the age range of 31-40 and above 40 years of age, comprising 5.9 percent and 2.9 percent of respondents, respectively.

Occupation:

Occupation plays a important role in shaping an individual's income level, risk-taking ability, and investment behaviour. It helps in understanding the background of respondents involved in stock market activities. Table 3 shows the distribution of responses regarding occupation.

Table 3: Occupation

	Percentage	Responses
Student	69.6%	71
Salaried Employee	16.7%	17
Business Owner	4.9%	5
Investor/Trader	3.9%	4
Other	4.9%	5
Total	100%	102

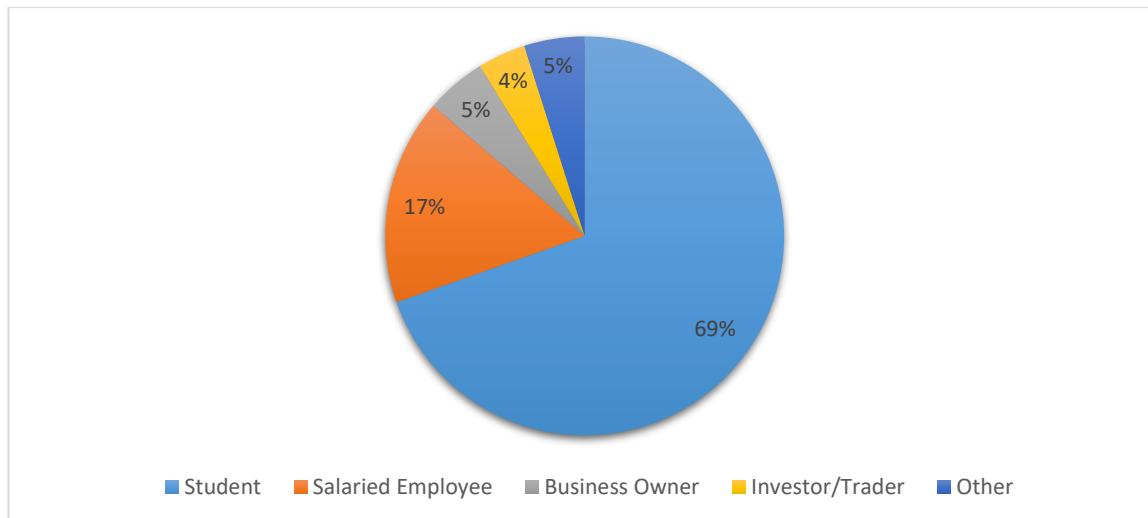


Fig. 3: Occupation

Fig. 3 show the largest number of respondents is that of students, constituting 69.6% of the total respondents surveyed, while the second largest group consists of salaried workers with a percentage of 16.7%. Other smaller groups include business owners (4.9%), others (4.9%) and investors (3.9%). It is apparent from the above data that students form the majority of respondents in this study.

Investment Experience:

Investment experience in the stock market plays an important role in shaping investment behaviour. Table 4 illustration the distribution of respondents based on their level of investment experience, where a majority of respondents have less than 1 year of experience.

Table 4: Investment Experience

	Percentage	Responses
Less than 1 year	69.6%	71
1–3 years	19.6%	20
3–5 years	4.9%	5
More than 5 years	5.9%	6
Total	100%	102

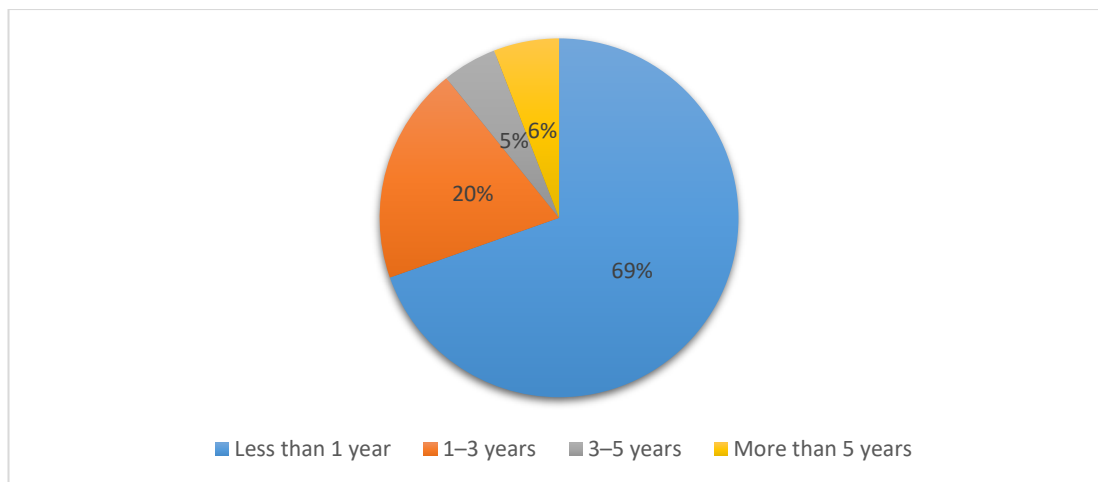


Fig. 4: Investment Experience

Fig.4 shows most participants in this survey have an investment experience of less than 1 year, accounting for 69.6% of the total respondents, followed by 19.6% with 1–3 years of experience. The least represented groups are those with more than 5 years (5.9%) and 3–5 years (4.9%) of investment experience.

Do you actively invest in the stock market?

Participation in the stock market helps in understanding investment behaviour of individuals. Table 5 shows the distribution of responses regarding active participation within the stock market.

Table 5: Active Investment

	Percentage	Responses
Yes	37.3%	38
No	62.7%	64
Total	100%	102

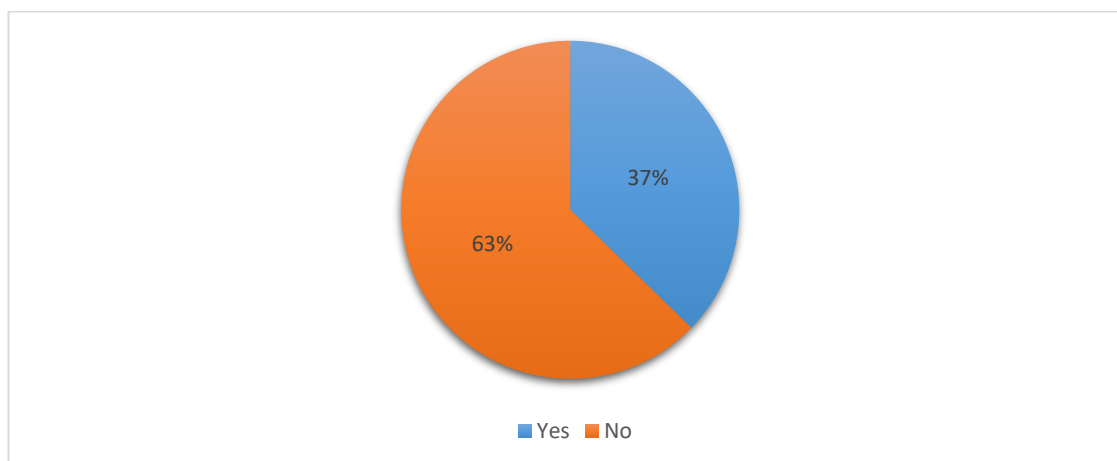


Fig. 5: Active Investment

Fig. 5 shows most respondents are not active participants in the stock market, representing 62.7% of the overall sample, while only 37.3% are active participants. This indicates that although awareness of the stock market exists, the level of actual participation remains relatively low.

Investment Behaviour Analysis

Which stock exchange do you mainly invest in?

The preference for NSE suggests that the study findings may be more influenced by trading patterns and experiences associated with NSE. This may limit the representation of behaviours specific to BSE or other platforms. Table 6 shows the distribution of responses regarding the preferred stock exchange.

Table 6: Preferred Stock Exchange

	Percentage	Responses
NSE	39.2%	40
BSE	9.8%	10
Both	32.4%	33
Other	18.6%	19
Total	100%	102

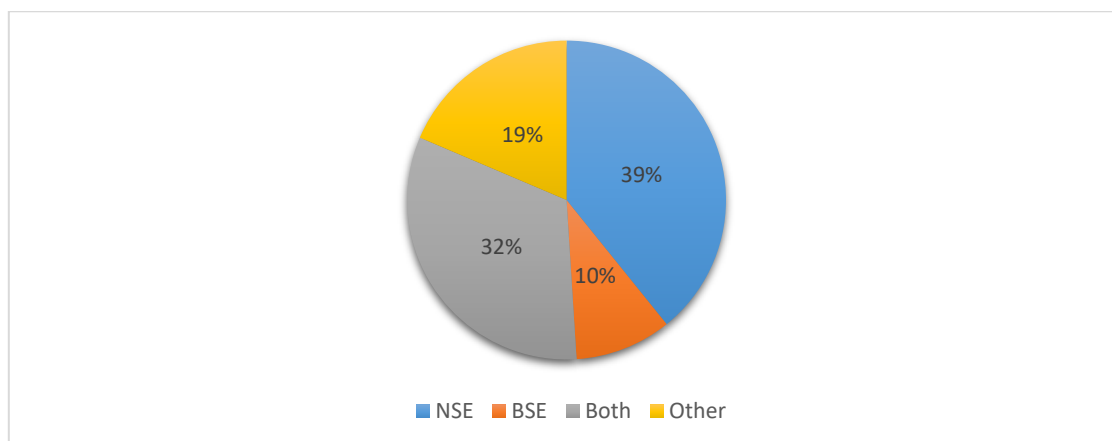


Fig. 6: Preferred Stock Exchange

Fig. 6 shows the largest group of participants (39.2%) prefer investing in NSE, followed by 32.4% who invest in both NSE and BSE. A smaller proportion of respondents invest only in BSE (9.8%), while 18.6% use other platforms. This indicates that NSE is the most preferred stock exchange among the respondents.

How frequently do you trade in the stock market?

The dominance of occasional traders indicates that most respondents are low-frequency investors. This may influence the findings towards less active trading behaviour, with limited representation of frequent or professional traders. Table 7 shows the trading frequency.

Table 7: Trading Frequency

	Percentage	Responses
Daily	10.8%	11
Weekly	9.8%	10
Monthly	14.7%	15
Occasionally	64.7%	66
Total	100%	102

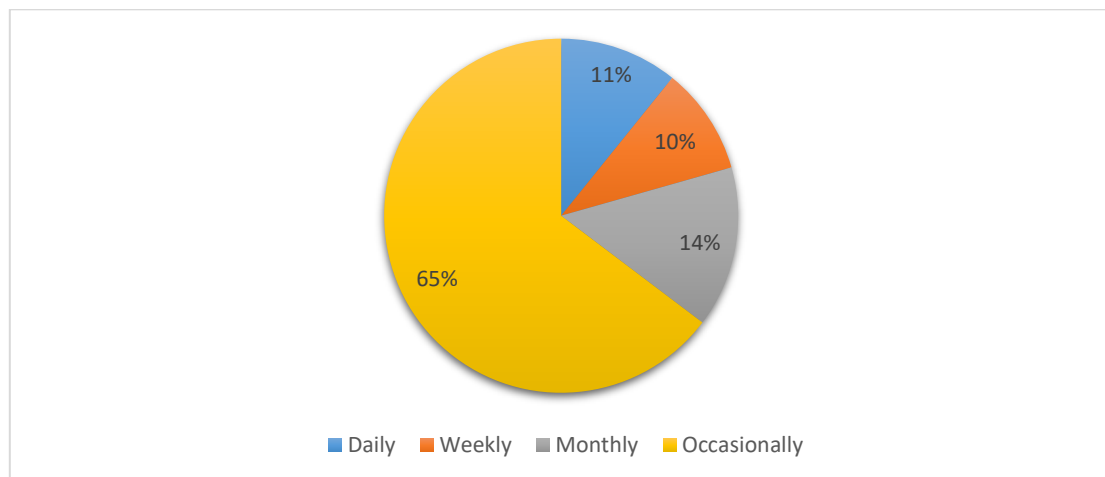


Fig. 7: Trading Frequency

Fig. 7 shows majority of the respondents conduct trades occasionally, making up 64.7% of the total survey respondents. A much lower number conducts trades on a monthly basis (14.7%), on a daily basis (10.8%), and on a weekly basis (9.8%).

What is your primary source of stock market information?

Investors rely on various sources of information to make decisions in the stock market. These sources play a crucial role in shaping their understanding and investment behaviour. Table 8 shows the distribution of responses regarding sources of information.

Table 8: Sources of Information

	Percentage	Responses
Financial news channels	16.7%	17
Company annual reports	18.6%	19
Social media / YouTube	27.5%	28
Broker / Financial advisor	14.7%	15
Friends & relatives	22.5%	23
Total	100%	102

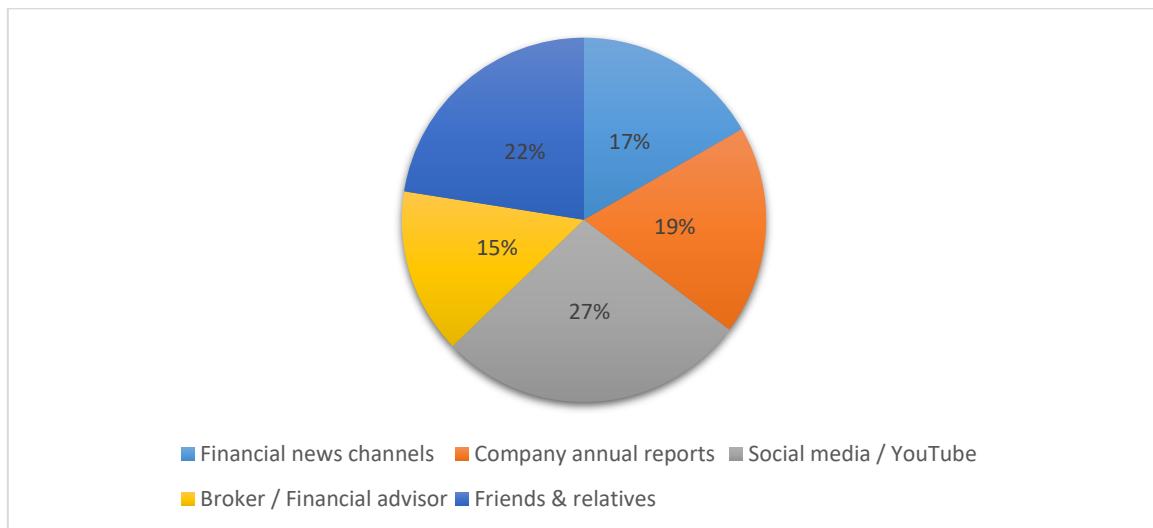


Fig. 8: Sources of Information

Fig. 8 shows the majority of respondents rely on social media and YouTube as their primary source of stock market information, accounting for 27.5%, followed by friends and relatives at 22.5%. Other sources include company annual reports (18.6%), financial news channels (16.7%), and brokers or financial advisors (14.7%). This shows that informal and digital platforms play a crucial role in influencing investor decisions.

Do you rely on past price trends before making investment decisions?

Past price trends are often considered by investors while making investment choices. It helps in understanding market patterns and predicting future price movements. Table 9 shows the distribution of responses regarding the use of historical price analysis.

Table 9: Analysis of Historical Prices

	Percentage	Responses
Never	21.6%	22
Rarely	12.7%	13
Sometimes	30.4%	31
Often	21.6%	22
Always	13.7%	14
Total	100%	102

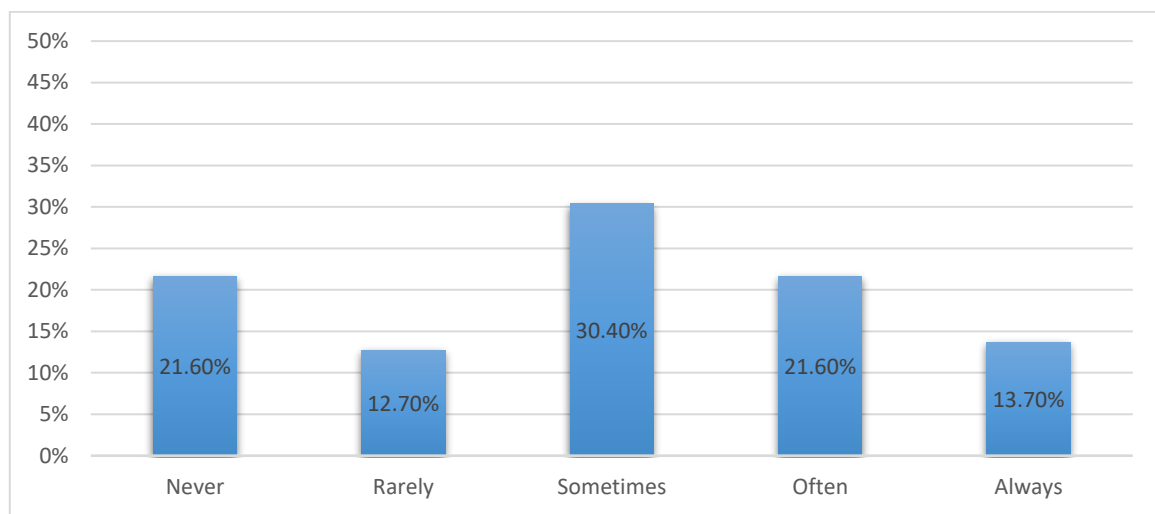


Fig. 9: Analysis of Historical Prices

Fig. 9 shows that a considerable number of respondents rely on past price trends sometimes (30.4%) while making investment decisions. Additionally, 21.6% of respondents often consider past trends, whereas an equal proportion (21.6%) never rely on them. Smaller groups depend on past trends rarely (12.7%) or always (13.7%). This indicates that although many investors consider past price movements, their level of reliance varies significantly.

Market Efficiency Analysis

Stock prices reflect all publicly available information:

In an efficient market, stock prices are assumed to incorporate all publicly available information. This helps investors make informed decisions based on available data. Table 10 shows the distribution of responses regarding whether stock prices reflect public information.

Table 10: Stock Price Reflects Public Information

	Percentage	Responses
Strongly Disagree	12.7%	13
Disagree	7.8%	8
Neutral	40.2%	41
Agree	34.3%	35
Strongly Agree	4.9%	5
Total	100%	102

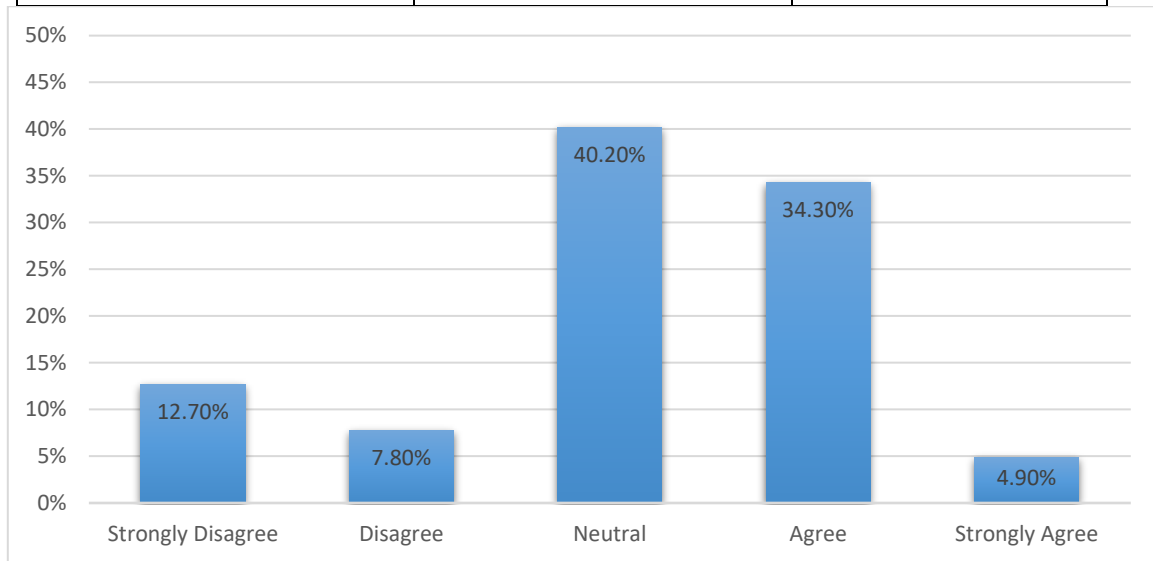


Fig. 10: Stock Price Reflects Public Information

Fig. 10 shows a large proportion of respondents (40.2%) remain neutral on whether stock prices reflect all publicly available information, while 34.3% agree and 4.9% strongly agree. Conversely, 12.7% strongly disagree and 7.8% disagree with the statement. This indicates that although some respondents believe in information efficiency, a considerable proportion remains uncertain, suggesting a moderate level of confidence in market efficiency.

Past stock prices help in predicting future stock prices:

Past stock prices are often used by investors to understand market trends and make predictions about future price movements. This approach is commonly linked with technical analysis within the stock market. Table 11 shows the distribution of responses regarding whether past prices help in predicting future prices.

Table 11: Past Prices Predict Future Prices

	Percentage	Responses
Strongly Disagree	7.8%	8

Disagree	14.7%	15
Neutral	21.6%	22
Agree	45.1%	46
Strongly Agree	10.8%	11
Total	100%	102

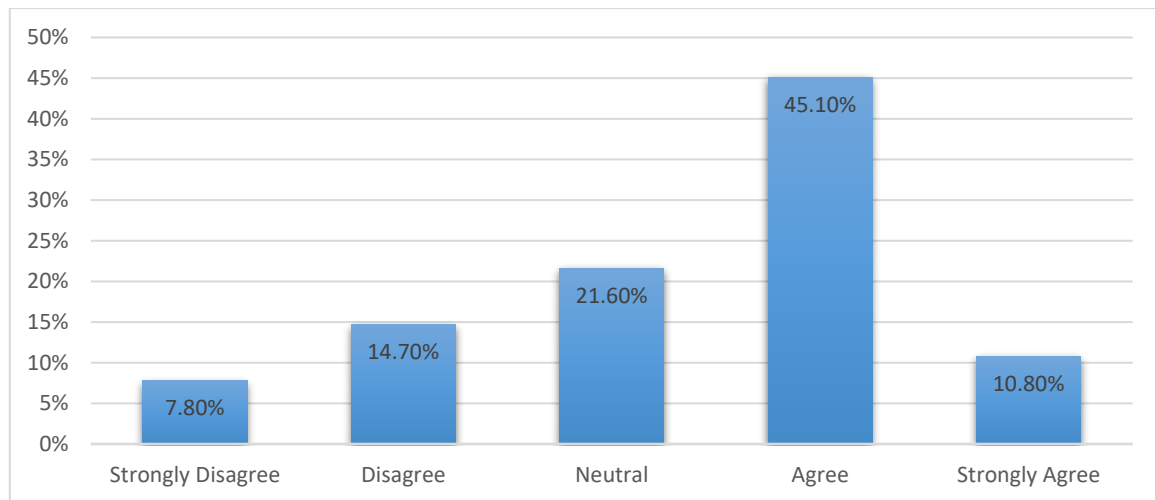


Fig. 11: Past Prices Predict Future Prices

Fig. 11 shows a majority of respondents agree (45.1%) that past stock prices help in predicting future prices, while 10.8% strongly agree. Meanwhile, 21.6% remain neutral, and a smaller proportion disagree (14.7%) or strongly disagree (7.8%) with the statement. This indicates that a significant number of investors believe in the relevance of historical price trends, suggesting the presence of weak-form inefficiency within the market.

Technical analysis helps investors earn higher returns:

Technical analysis is widely used by investors to study price patterns and market trends for making investment decisions. It is believed to help in identifying profitable opportunities within the stock market. Table 12 shows the breakdown of responses about the effectiveness of the technical analysis in earning returns.

Table 12: Technical Analysis Helps in Earning Returns

	Percentage	Responses
Strongly Disagree	8.8%	9
Disagree	6.9%	7

Neutral	23.5%	24
Agree	31.4%	32
Strongly Agree	29.4%	30
Total	100%	102

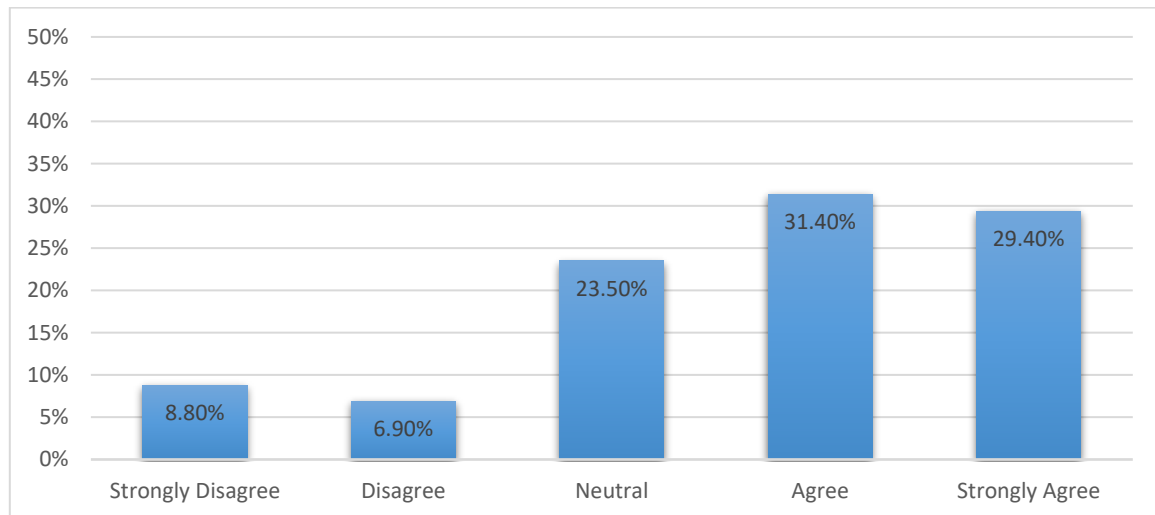


Fig. 12: Technical Analysis Helps in Earning Returns

Fig. 12 shows a considerable number of respondents agrees that technical analysis helps in earning higher returns, with 31.4% agreeing and 29.4% strongly agreeing with the statement. At the same time, 23.5% of respondents remain neutral, while a smaller proportion disagree (6.9%) or strongly disagree (8.8%). This suggests that many investors rely on technical analysis as a useful tool for decision-making, although not everyone is fully convinced about its effectiveness.

Fundamental analysis helps in outperforming the market:

Fundamental analysis is used by investors to assess a company's financial condition and overall performance while making investment decisions. It helps in identifying undervalued stocks and achieving better returns in the market. Table 13 shows the distribution of responses regarding the role of fundamental analysis in outperforming the market.

Table 13: Fundamental Analysis Helps in Outperforming the Market

	Percentage	Responses
Strongly Disagree	7.8%	8
Disagree	9.8%	10
Neutral	24.5%	25

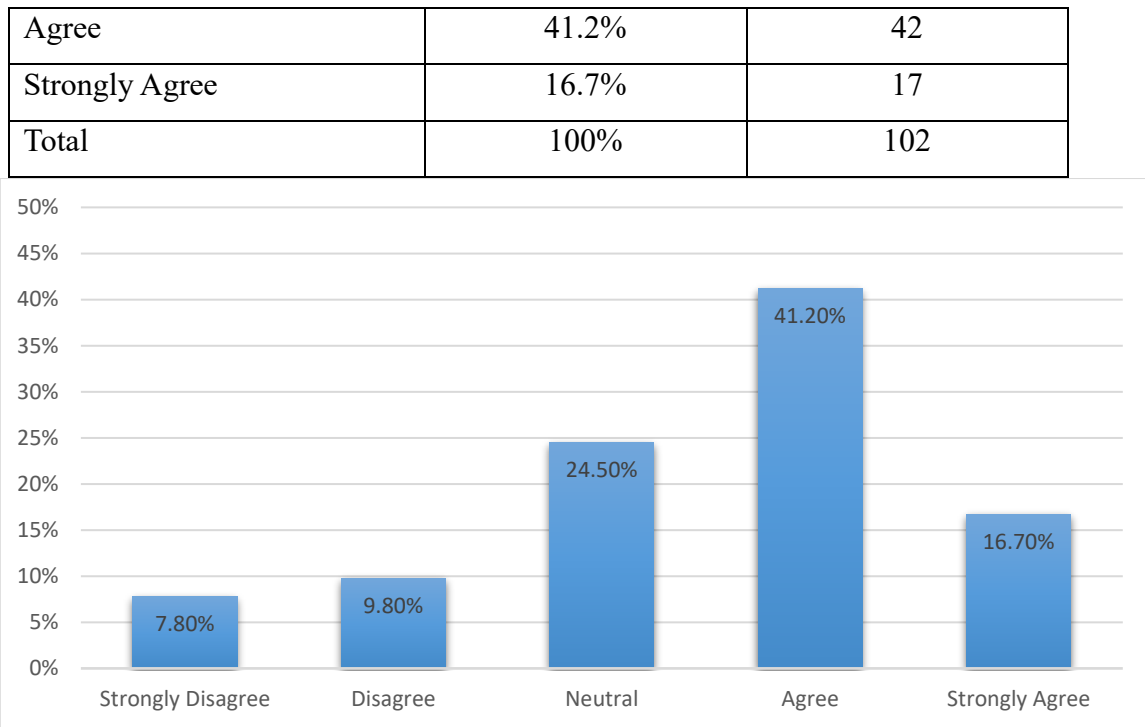


Fig. 13: Fundamental Analysis Helps in Outperforming the Market

Fig. 13 shows a large proportion of respondents agree that fundamental analysis helps in outperforming the market, with 41.2% agreeing and 16.7% strongly agreeing. At the same time, 24.5% of respondents remain neutral, while a smaller percentage disagree (9.8%) or strongly disagree (7.8%). This indicates that many investors consider fundamental analysis an important tool for evaluating stocks, although some still remain uncertain about its effectiveness.

The stock market reacts quickly to economic and political news:

The stock market is influenced by economic and political news, which can impact price movements. Quick reaction to such information reflects the efficiency of the market. Table 14 shows the distribution of responses regarding whether the market reacts quickly to news.

Table 14: Market Reacts Quickly to News

	Percentage	Responses
Strongly Disagree	5.9%	6
Disagree	4.9%	5
Neutral	24.5%	25
Agree	34.3%	35
Strongly Agree	30.4%	31

Total	100%	102
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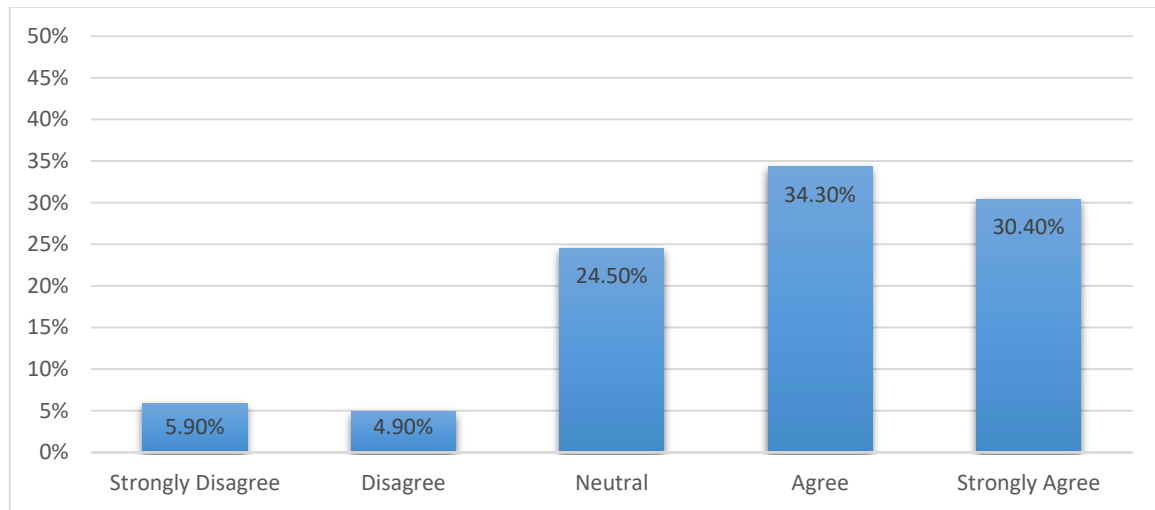


Fig. 14: Market Reacts Quickly to News

Fig. 14 shows a significant proportion of respondents agree that the stock market reacts quickly to economic and political news, with 34.3% agreeing and 30.4% strongly agreeing. At the same time, 24.5% remain neutral, while only small percentages disagree (4.9%) or strongly disagree (5.9%). This suggests that investors generally perceive the market as responsive to new information, indicating the existence of semi-strong form efficiency.

Insider information significantly affects stock prices:

Insider information strongly affects stock prices, as it may provide an unfair advantage to certain investors. Its presence is often linked with the level of market transparency and fairness. Table 15 shows the distribution of responses regarding the effect of insider information on stock prices.

Table 15: Insider Information Affects Stock Prices

	Percentage	Responses
Strongly Disagree	5.9%	6
Disagree	6.9%	7
Neutral	31.4%	32
Agree	31.4%	32
Strongly Agree	24.5%	25
Total	100%	102

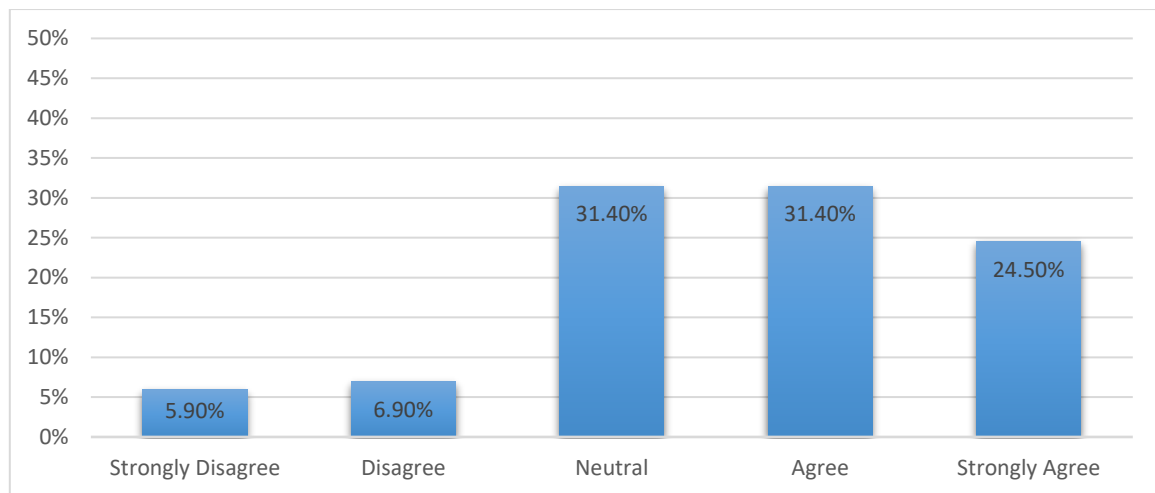


Fig.15: Insider Info. Affects Stock Prices

Fig. 15 shows a considerable proportion of respondents believe that insider information affects stock prices, with 31.4% agreeing and 24.5% strongly agreeing. At the same time, an equal proportion (31.4%) remain neutral, meanwhile a smaller percentage disagree (6.9%) or strongly disagree (5.9%). This shows that while many investors suspect the influence of insider information, a considerable number are still uncertain, suggesting that the market might not be fully strong-form efficient.

Market regulations ensure transparency in trading activities:

Market regulations play an important role in ensuring fairness and transparency in stock market activities. They help in protecting investor interests and maintaining trust in the financial system. Table 16 shows the distribution of responses regarding whether market regulations ensure transparency.

Table 16: Market Regulations Ensure Transparency

	Percentage	Responses
Strongly Disagree	4.9%	5
Disagree	6.9%	7
Neutral	28.4%	29
Agree	40.2%	41
Strongly Agree	19.6%	20
Total	100%	102

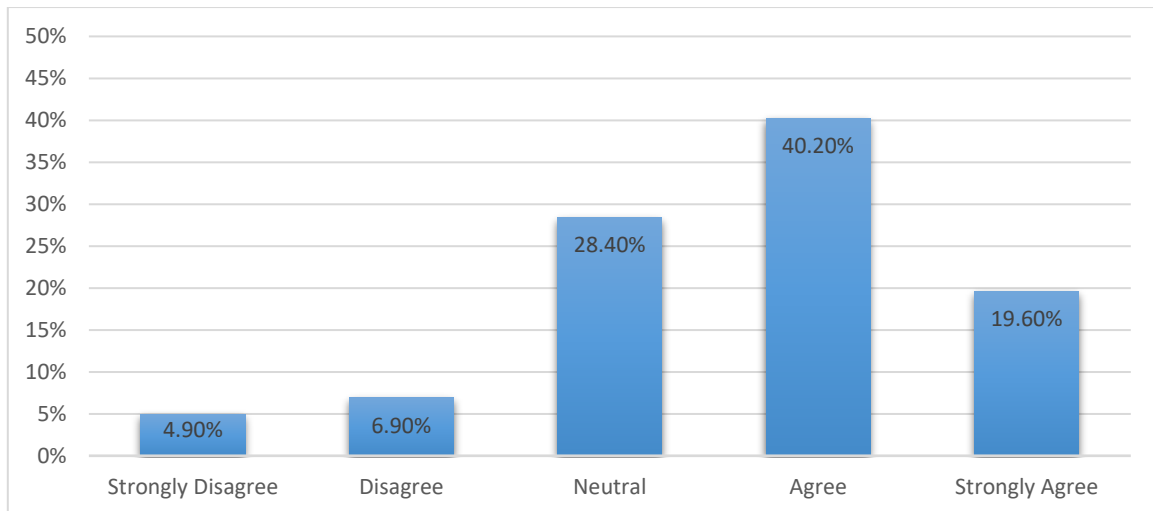


Fig. 16: Market Regulations Ensure Transparency

Fig. 16 shows a large proportion of respondents believe that market regulations ensure transparency in trading activities, with 40.2% agreeing and 19.6% strongly agreeing. At the same time, 28.4% remain neutral, while a smaller percentage disagree (6.9%) or strongly disagree (4.9%). This indicates that investors generally have confidence in regulatory mechanisms, although a section of respondents is still uncertain about their effectiveness.

Information about companies is easily accessible to all investors:

Availability of information is essential for investors to make informed decisions in the stock market. Easy access to company-related data helps in improving transparency and market efficiency. Table 17 shows the distribution of responses regarding the accessibility of information to investors.

Table 17: Accessibility of Information for Investors

	Percentage	Responses
Strongly Disagree	9.8%	10
Disagree	14.7%	15
Neutral	24.5%	25
Agree	35.3%	36
Strongly Agree	15.7%	16
Total	100%	102

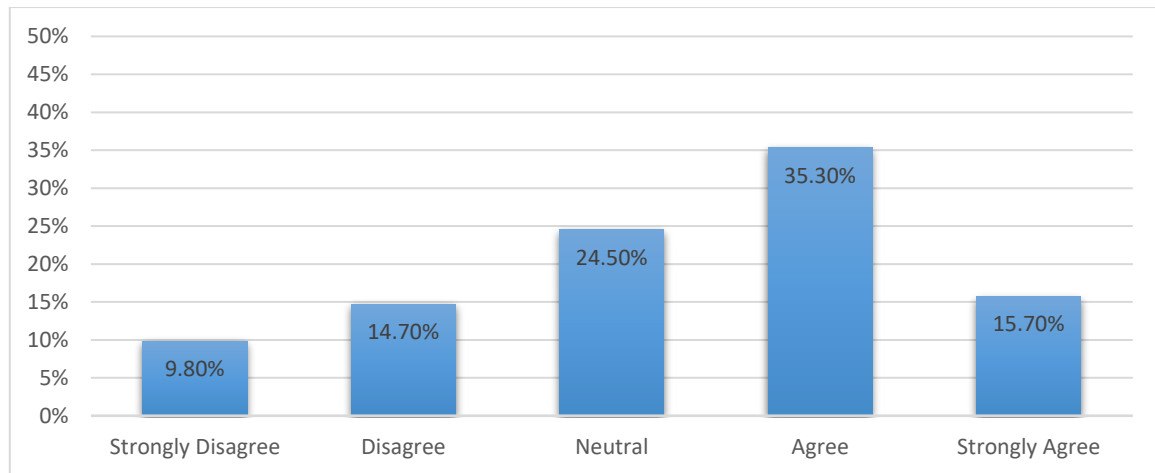


Fig. 17: Accessibility of Information for Investors

Fig. 17 shows a notable proportion of respondents agree that information about companies is easily accessible, with 35.3% agreeing and 15.7% strongly agreeing. However, 24.5% remain neutral, while a considerable percentage disagree (14.7%) or strongly disagree (9.8%). This suggests that although many investors find information accessible, a significant number still face challenges, indicating some gaps in information availability in the market.

The Indian stock market operates efficiently compared to other developing markets:

Market efficiency is often compared across different developing economies to understand relative performance. Such comparisons help in evaluating the growth and effectiveness of financial markets. Table 18 illustrates how respondents perceive the efficiency level of the Indian stock market in comparison with other developing markets.

Table 18: Market Efficiency Compared to Other Developing Markets

	Percentage	Responses
Strongly Disagree	10.8%	11
Disagree	14.7%	15
Neutral	29.4%	30
Agree	33.3%	34
Strongly Agree	11.8%	12
Total	100%	102

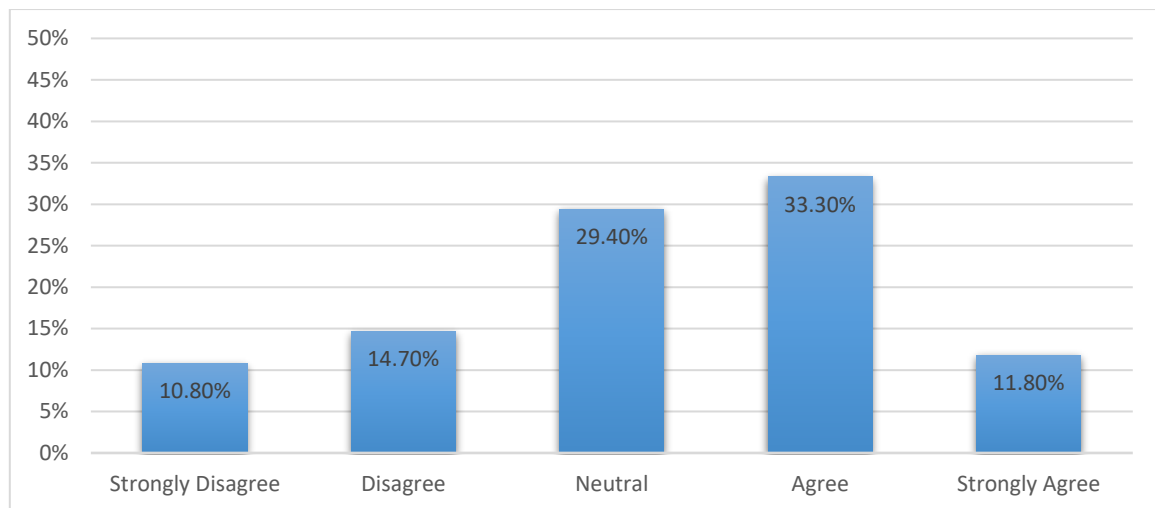


Fig. 18: Market Efficiency Compared to Other Developing Markets

Fig. 18 shows a considerable proportion of respondents believe that the Indian stock market operates efficiently compared to other developing markets, with 33.3% agreeing and 11.8% strongly agreeing. However, 29.4% remain neutral, while 14.7% disagree and 10.8% strongly disagree. This indicates that although many respondents view the Indian stock market as relatively efficient, a significant portion remains uncertain or holds differing opinions, suggesting mixed perceptions regarding its comparative efficiency.

Overall Perception

According to you, the Indian stock market is:

Investors' overall perception of market efficiency provides insight into how they view the functioning of the stock market. It reflects their confidence in the market's ability to incorporate information effectively. Table 19 shows the distribution of responses regarding the overall perception of market efficiency.

Table 19: Perception of Overall Market Efficiency

	Percentage	Responses
Highly Efficient	25.5%	26
Moderately Efficient	50%	51
Inefficient	6.9%	7
Cannot Say	17.6%	18
Total	100%	102

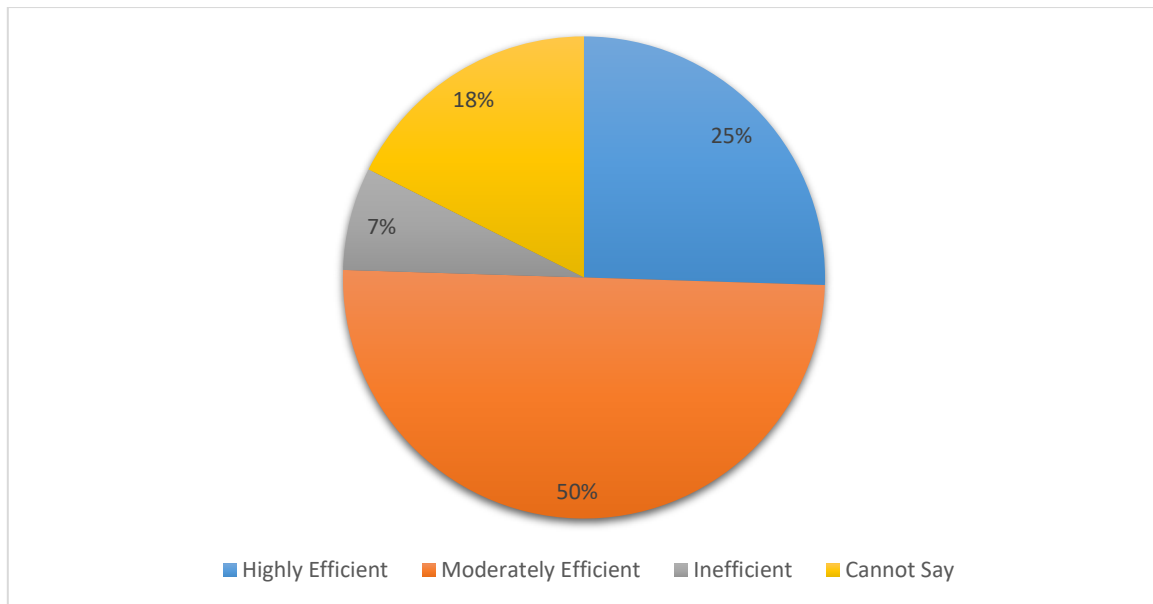


Fig. 19: Perception of Overall Market Efficiency

Fig. 19 shows the half of the respondents (50%) consider the Indian stock market to be moderately efficient, while 25.5% believe it is highly efficient. At the same time, 17.6% are uncertain and 6.9% consider it inefficient. This indicates that most respondents view the Indian stock market as moderately efficient, suggesting that while the market reflects information to some extent, it may not be perfectly efficient.

Overall, how would you rate the transparency of the Indian stock market?

Market transparency is an important factor that influences investor confidence and trust in the stock market. It reflects how openly and clearly market information is available to participants. Table 20 shows the distribution of responses regarding the rating of market transparency.

Table 20: Rating of Market Transparency

	Percentage	Responses
Very Poor	8.8%	9
Poor	13.7%	14
Average	34.3%	35
Good	32.4%	33
Excellent	10.8%	11
Total	100%	102

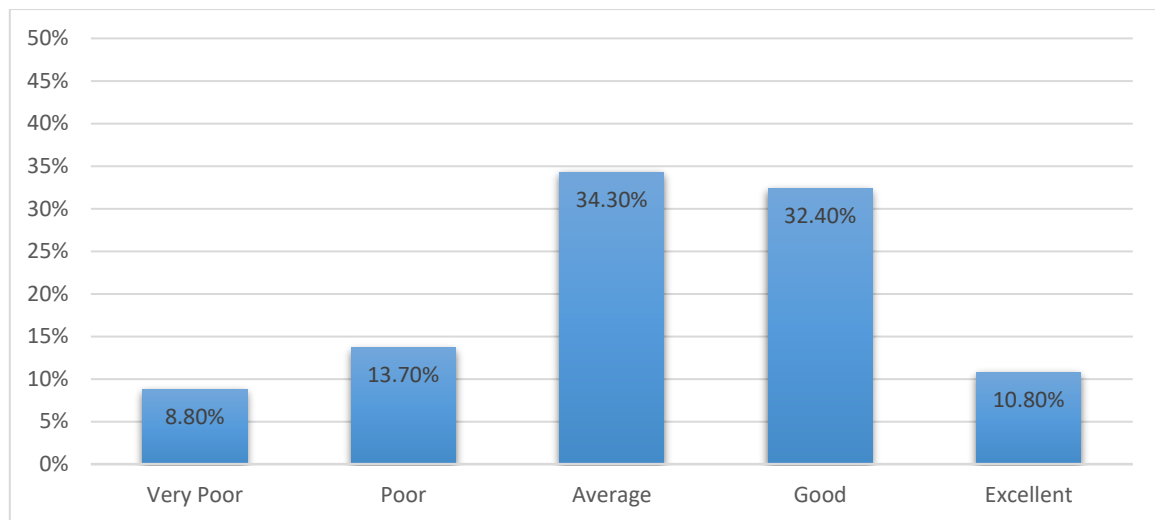


Fig. 20: Rating of Market Transparency

Fig. 20 shows a large proportion of respondents rate the transparency of the Indian stock market as average (34.3%) or good (32.4%), while 10.8% consider it excellent. On the other hand, 13.7% rate it as poor and 8.8% as very poor. This suggests that most respondents perceive the market as reasonably transparent, although there is still scope for improvement in transparency levels.

Findings

- A majority of respondents fall within the age group of 20 and 30, which shows that younger people are more likely to be involved in stock market activities.
- A large number of the respondents who answered are students who don't have much experience with investing, which means that most of the respondents in the sample are beginner investors.
- Most of the respondents who answered the survey trade from time to time, which suggests that they prefer long-term or less frequent trading strategies over active daily trading.
- Social media and informal sources like friends and family have a big impact on how people decide to invest.
- A lot of the respondents who answered the survey think that stock prices incorporate publicly available data for the public, but many are still not sure, which shows that they are only moderately confident in market efficiency.
- Most of the respondents who answered said that the market reacts quickly to news, which indicates that there is semi-strong efficiency.
- A considerable share of respondents asserts that insider information influences stock prices, indicating that the market does not exhibit complete strong-form efficiency.
- A majority of respondents agreed that the Indian stock market operate with moderate efficiency and maintains a reasonable level of transparency.

Conclusion

The current study has tried to examine the efficiency level of the Indian stock market. In other words, through empirical studies carried out by collecting primary data from 102 respondents, an attempt has been made to find out the perception of investors in terms of price behaviour, information dissemination, and the effect of analysis on investment decisions.

Based on the findings, the Indian stock market is not perfectly efficient though it seems to exhibit partial or semi-strong form efficiency. The majority of respondents believe stock prices reflect relevant information and Indian market reacts quickly against prevailing political and economic conditions.

The present study discovered inefficiencies in the Indian market as well which was a complete contrary finding. Respondents' Opinion on Price Behaviour Prediction and Profit Generation.

Many respondents were of the opinion that price behaviour can be predicted from past trends. Further that both technical and fundamental analysis can generate higher profits for investors. These conclusions deny weak form of market efficiency.

The impact of insider information on stock prices shows that strong-form efficiency is not present. Even in the presence of regulations, the problem of information asymmetry leads people to believe that not all investors will have simultaneous access to information.

The findings reveal that the Indian stock market is reasonably efficient. This test displays some elements of efficiency and inefficiency. Though technology and regulation have improved transparency, the limitations remain in place.

The findings of the study help to gain better understanding for investors, policymakers, and researchers in understanding the practical functioning of the market.

Future Scope

The present study of the topic is limited in scope and allows the future researchers to study a few other aspects as well. To make the outcome more generalizable, for example, future researchers can use a higher number of respondents.

Furthermore, future researchers may perform secondary data analysis by applying various statistical analysis' such as regression analysis, correlation, among others. Merging primary and secondary data will lead to better clarity regarding the market behaviour.

Researchers could also choose to conduct their research with a specific focus in the area of the markets for example sector wise comparisons or stock exchange wise comparisons like National Stock Exchange of India versus Bombay Stock Exchange.

Moreover, a part of the analysis of market efficiency can see the introduction of new variables such as algorithmic trading, artificial intelligence as well as digital markets in future research.

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